# Hero MotoCorp Ltd

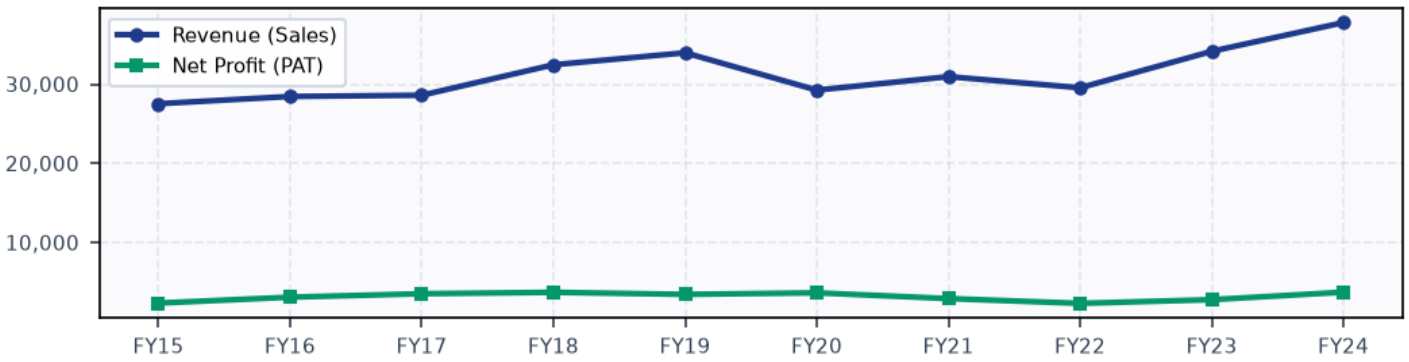
**NSE:** HEROMOTOCO | **Sector:** Consumer Discretionary | **Peer Group:** Automobiles

**N100 INSTITUTIONAL TEARSHEET**
Fiscal Reference: FY2024
Currency: INR (■ Crore)

| RETURN ON EQUITY (ROE) | RETURN ON CAPITAL (ROCE) | DEBT TO EQUITY (D/E) |
|---|---|---|
| **21.1%** | **24.5%** | **0.03x** |
| ▼ Below Sector Med (22.2%) | ▲ Above Sector Med (16.8%) | ▲ Low Leverage vs Med 0.07x |

| REVENUE CAGR (3YR) | COMPOSITE SCORE | OPERATING MARGIN (OPM) |
|---|---|---|
| **6.9%** | **46.1** | **13.9%** |
| ▼ Below Sector Med (23.3%) | ▼ Below Sector Med (57.8) | ▼ Below Sector Med (14.1%) |

## 10-Year Revenue & Net Profit (PAT) Trajectory (₹ Crore)




### ▲ INVESTMENT MERITS & STRENGTHS (PROS)

✔ Company is virtually debt-free with near-zero borrowings.

### ▼ RISK FACTORS & CONCERNS (CONS)

■ Sub-50 cash flow quality score (1/100) indicating working capital drag.

## Peer Comparison, Valuation Multiples & Cash Flow Intelligence

**Hero MotoCorp Ltd (HEROMOTOCO) | Peer Group: Automobiles**

| Company | ROE (%) | ROCE (%) | OPM (%) | D/E (x) | P/E (x) | 3Y Rev (%) | Composite |
|---|---|---|---|---|---|---|---|
| BAJAJ-AUTO | 26.6% | 27.2% | 19.5% | 0.07x | 29.9x | 17.4% | 57.8 |
| EICHERMOT | 22.2% | 20.2% | 26.2% | 0.02x | 15.6x | 23.8% | 63.5 |
| **★ HEROMOTOCO** | **21.1%** | **24.5%** | **13.9%** | **0.03x** | **53.9x** | **6.9%** | **46.1** |
| M&M; | 18.5% | 11.5% | 17.9% | 1.64x | 14.2x | 23.3% | 50.1 |
| MARUTI | 15.8% | 15.6% | 13.1% | 0.00x | 20.8x | 26.3% | 60.2 |
| TATAMOTORS | 37.5% | 16.8% | 13.6% | 1.26x | 67.1x | 20.6% | 60.2 |
| TVSMOTOR | 26.2% | 13.8% | 14.1% | 3.83x | 46.1x | 26.3% | 36.4 |

| Valuation Multiple | Company | Sector Median | DCF Implied Value & Status |
|---|---|---|---|
| P/E Ratio | 53.9x | 38.0x | **Implied Value:** ■62,934 Cr (-96.1%) |
| P/B Ratio | 12.6x | 11.9x | **★ STATUS: OVERVALUED (PREMIUM)** |
| EV / EBITDA | 28.3x | 30.4x | Market Cap: ■1,593,401 Cr |

**Capital Allocation Pattern: Shareholder Returns | 5-Year Operating vs Investing vs Financing Cash Flows**

